UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	Docket No. RM26-4-000

INITIAL COMMENTS OF INTERNATIONAL ENERGY CREDIT ASSOCIATION

The International Energy Credit Association ("IECA") submits these comments in response to the Federal Energy Regulatory Commission's ("Commission") Notice Inviting Comments issued on October 27, 2025, in above captioned docket. In its Notice, the Commission referenced a proposed advance notice of proposed rulemaking (proposed "ANOPR") issued on October 23, 2025, by the Secretary of Energy ("Secretary") pursuant to Section 403 of the Department of Energy Organization Act,[1] which authorizes the Secretary to propose rules for consideration by the Commission. The Secretary's transmittal letter of October 23, 2025, called for the Commission to take "final action (no later than April 30, 2026)" on the Secretary's proposed ANOPR.

Fundamentally, the Secretary's proposed ANOPR is intended to expedite the process of interconnecting large loads in excess of 20 MW to the interstate transmission system, focusing primarily on the interconnection of Data Centers to the grid. The Secretary's proposed ANOPR is consistent with President Trump's issuance on July 23, 2025, of Winning the Race: America's AI Action Plan. Recognizing the significance and the urgency of the public interest served by expediting the interconnection of Data Centers to the interstate transmission system, the IECA appreciates the opportunity to submit these initial comments on the Secretary's proposed ANOPR for the Commission's consideration.

I. IDENTITY AND INTEREST

The IECA is an association of over 800 credit, risk management, legal and finance professionals that is dedicated to promoting the education and understanding of credit and other risk management-related issues in the energy industry. For the last 100 years, IECA members have actively promoted the development of best practices that reflect the unique needs and concerns of the energy industry. The IECA seeks to protect the rights and advance the interests of a broad range of domestic and foreign energy market participants, representatives of which make up the IECA's membership. These entities finance, produce, sell, purchase for resale, and hedge their exposure to risk related to, substantial quantities of various physical energy commodities, including electricity, natural gas, oil, refined petroleum products, hydrogen, ammonia, renewable energy certificates, voluntary carbon credits, and numerous other energy-related physical commodities (both tangible and intangible) necessary for the healthy functioning of the energy markets and the "real economy."

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[1] 42 U.S.C. § 7173.

As market participants in physical and financial energy markets in the U.S. and globally, IECA members are directly affected by the enormousness of the impact on physical and financial energy markets of Data Center development, artificial intelligence ("AI") implementation, new power plant construction needed to serve the Data Centers that will implement AI and other advanced computing functions, and the formation of Federal and State policies to encourage that development.

IECA members welcome these developments and seek to ensure that such policies and regulations are just and reasonable to all constituencies. On that basis, we submit these comments.

II. PLEADINGS AND COMMUNICATIONS

Pleadings and other communications concerning this proceeding should be directed to the following persons:

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III. COMMENTS

The IECA respectfully offers the following comments. We believe the public interest is best served by creating a regulatory framework in which large loads, focusing primarily on large Data Centers, can be developed expeditiously in the U.S. to ensure that: (A) Data Center development does not move offshore to other countries with a more Data Center-friendly regulatory environment; and (B) the U.S. continues to be a leader in the global race to both develop and implement AI and other advanced computing capabilities.

A. BASIC DATA CENTER AND AI TERMINOLOGY

A good starting point for this discussion is establishing a common understanding of the certain terms that are used to define and describe Data Centers and AI.

Compute. Data Centers produce and sell a service, which is also referred to as a commodity, called "*compute*." "*Compute*" is the processing power of hardware (i.e., chips, such as graphic processing units ("GPUs")) that runs applications, organizes, processes and retrieves data, and analyzes data, which is often measured in floating-point operations per second ("FLOPS"); "*Storage*" is the repository where data is saved. A "*Stack*" is the hardware (i.e., chips or GPUs), the software (i.e., programming languages), and the infrastructure (i.e., the Data Centers and the resources required to run the Data Centers such as cooling equipment, servers, and cables).

GPUs/Chips. The GPUs (i.e., computer chips) in Data Centers perform an incredibly large number of calculations (i.e., FLOPS) each second. For example, a MacBook Air laptop computer with an M1 chip has a peak speed of 2.6 trillion calculations per second, which is a speed of 2.6

teraflops. In contrast, the Frontier super-computer at Oak Ridge National Laboratory has a peak speed of 1,679 quadrillion calculations per second, which is a speed of 1,679.82 petaflops.

Asynchronous Computing. The GPUs also perform "asynchronous" computing, which means that while the main program is performing one task it can send a thread to perform another task in parallel (i.e., at the same time) and the main program is "not blocked," i.e., the main program is not required to wait for that task to be completed before resuming its original task. Asynchronous essentially means "not blocking" or not having to wait for an operation to complete before or while performing a different or parallel operation. So-called "threads" are one way of consuming compute asynchronously, which allows a web server to handle multiple user requests simultaneously or a GPU to run a compute-heavy task in parallel with a less compute-intense task.

AI. An AI model is a computer program that uses one or more algorithms to learn from data and make predictions or decisions. AI is then a model that consumes compute produced in a Data Center for two primary functions, "training" compute and "inference" compute:

> "Training compute" is the learning phase where an AI model processes and stores large volumes of data from a dataset to optimize performance by altering its parameters; and
>
> "Inference compute" is the thinking phase where a trained AI model is put to application, generating responses from inputs.

When a "trained" AI model uses its learned knowledge to analyze new data and produce a prediction or a decision, that prediction or decision is an "inference."

Inference. The "inference" or "operational" phase of AI is the stage where an AI model becomes functional in real-world applications. Consuming "Inference compute" is the process that a trained AI model uses to draw conclusions from data the model has not previously seen. An example would be a self-driving car that recognizes a stop sign on a road it has not previously seen or driven. An "inference" is an AI model viewing new data, performing quadrillions of calculations in a second comparing that new data to the data in its database, and instantly drawing one or more conclusions or making one or more predictions (i.e., inferences) about that new data.

Hyperscalers. "Hyperscalers" are large cloud service providers, which can provide services such as computing and storage at the scale required by large enterprises. Hyperscalers operate massive global Data Centers to offer highly scalable and on-demand computing, storage, and networking services, which allow businesses to quickly scale resources up or down and manage large applications. Hyperscalers invest heavily in redundant infrastructure, disaster recovery, and advanced security measures to ensure high availability and protect data.

Transient Loads. "Transient Loads" in Data Centers are short-term, high-intensity power fluctuations that can be caused by tasks like intensive computation (e.g., GPU use in AI training) and rapid server load changes. These unpredictable spikes and dips stress the power grid and can cause equipment damage, voltage instability, and safety concerns. To manage them, Data Centers must accurately plan for peak power demand, use advanced grid protection, maintain robust grounding, and consider systems like microgrids and battery storage.

Controllable Dispatch. “Controllable Dispatch,” when used with Data Centers, refers to the ability to remotely control and manage a Data Center's power consumption and operations, often in coordination with the electric grid, to optimize energy usage and costs. This is typically achieved through Data Center automation, smart grid technologies, and demand response programs, allowing a Data Center to shift or reduce its load during peak demand or when electricity prices are high.

B. “COMPUTE” IS BECOMING A COMMODITY, SOLD IN COMMODITY MARKETS, AND SUBJECT TO COMMODITY MARKET RISKS

Physical “compute” services produced and sold by Data Centers (or by those renting space in the Data Centers to house their computers) are rapidly becoming somewhat fungible commodities, which can be bought, sold, and traded as physical forward transactions (i.e., no futures, swaps, commodity options, or other derivatives yet) on the Compute Exchange (see https://compute.exchange/).

Perhaps in the near future we will also see one or more financial markets form to allow trading of a “futures contract” based on the bid and ask price for such physical market sales of “compute.” Financially-settled swaps and other financial derivatives could then be negotiated with the floating market price for “compute” being set by the markets for futures contracts or physical contracts for “compute.” By buying and selling futures and swaps based on “compute” market prices, both producers and users of “compute” could hedge their exposure to the commercial risks of volatility in the price of “compute” and volatility in the available supply of “compute.”

As a result, the rapidly growing number of Data Centers producing largely fungible “compute” services for AI users and other applications could soon be experiencing many of the same market forces faced by other commodity markets, including shortages and surpluses in the available supplies of “compute,” and market price volatility for those buying and selling “compute;”

To date, investment in Data Centers and AI has been moving generally in an upward trajectory. However, according to an article on page 10 of the Financial Times (USA edition), dated November 19, 2025:

> “A majority of global fund managers think companies are overinvesting as market anxiety grows about the sustainability of the artificial intelligence spending boom.”

The commoditization of “compute” as the primary product offered for sale by Data Centers is already beginning to influence the economic investment strategies of Data Center developers and users.

Initially, Data Center developers pursued power purchase agreements (“PPAs”) or ownership of co-located electric generating facilities that would provide access to reliable firm electric energy supplies that would deliver 100% of each Data Center’s peak electric requirements with an availability of no less than 99.999% (often referred to as “five nines”) during every hour of every day. This extremely high availability was thought to be “essential” to enable a Data Center to deliver the “compute” service required by Data Center customers purchasing “compute” for AI and other applications.

Achieving this “five nines” availability, however, required 100% redundancy of every element of the supply chain that generated and delivered electric energy to the Data Center. Any and every component in that energy supply chain, which could fail and lead to a disruption in deliveries of electric energy to the Data Center had to be duplicated and redundant, so that the duplicate component could be called-on instantly if and when its twin component failed. This meant building two 100 MW electric generators, perhaps each comprised of multiple 20 MW or 30 MW generator sets, with two separate natural gas pipelines feeding into the generators, when, in fact, 100 MWh of electric energy was the maximum quantity of electric energy the Data Center would ever consume in any hour.

Installing, or entering into a PPA to purchase, 200 MW of electric generating capacity, when only 100 MW is required to operate a Data Center is economically prudent as long as the sales price from selling “compute” generates more in revenues for the Data Center owner than is spent on electric generating capacity.

Initially, a proposed Data Center would pay $50 to $75 per MW for installing, constructing, or purchasing electric energy generating capacity, which was less than 1/3 of the cost per MW to be paid by the Data Center’s customers who were buying “compute” for their AI applications. That large “spread” allowed Data Center developers to conclude that requiring redundant components for 100% of the components in any electric energy supply chain was prudent and readily affordable.

However, as the number of Data Centers built and brought online begins to approach and exceed the level of demand of Data Center customers seeking to purchase “compute,” that spread will quickly narrow in the commodity markets for “compute.” Eventually the cost of installing 100% redundant electricity supply resources will no longer be economic for Data Center owners or tenants.

At the same time, greater use and application of AI will likely result in greater efficiencies for GPU/chip operations, which could reduce the net MWh of electric energy required by GPUs/chips to produce the quantities of “compute” required today by Data Center customers.

Collectively, these influences are causing some Data Center developers, Data Center users, and power project developers to shift their focus away from 100% redundancy to focus on: (i) improving and implementing Data Center infrastructure management (“DCIM”) software to manage “controllable dispatch,” and (ii) pursuing battery energy storage systems (“BESS”) and other technological means to accommodate the “transient load” swings in the consumption of electric energy by chips/GPUs as and when they are called on by Data Center customers to perform training or inference functions.

As a result, while almost unthinkable just a short time ago, Data Centers and their tenants renting space in each Data Center for their computer facilities are now beginning to consider “controllable dispatch” management and more traditional demand-side management tools to reduce the levels of electric energy generating capacity each Data Center feels it must maintain to meet the needs of its customers buying "compute" produced by its Data Center, rather than simply duplicating 100% of the electric generating capacity supply chain required by each Data Center's peak usage.

In certain select applications, demand-side management and other reductions of Data Center consumption of electric energy during times of stress on the transmission grid, once thought to be unachievable with Data Center loads, appear to be increasing in availability. We acknowledge, however, that Hyperscalers who maintain cloud storage and disaster recovery systems may still require substantial redundancy.

C. SIMULTANEOUS CONSIDERATION OF THE IMPACTS ON THE TRANSMISSION GRID OF INTERCONNECTING NEW GENERATION AND NEW LARGE LOADS CROSSES TRADITIONAL JURISDICTIONAL LINES, WHICH CAN LEAD TO EITHER "COMBAT" OR "COLLABORATION" AMONG BOTH REGULATORS AND THOSE REGULATED; WE RECOMMEND COLLABORATION

Recognition of the jurisdictional intersection between the Commission's existing rules and regulations that apply to the interconnection of large generators to the nation's transmission grid in all but the ERCOT region of Texas, and the existing rules and regulations of States and the existing tariffs of State-regulated utilities that traditionally apply to the interconnection of large loads to the nation's grid is absolutely necessary. Similarly, appreciation of the ongoing efforts of, and collaboration with, State governments and public utility commissions, which have in many States already begun implementing a regulatory framework that has enabled the rapid development of Data Centers in such States, is equally necessary.

Similarly, recognition of the Commission's traditional regulation of sales for resale (i.e., wholesale sales) in interstate commerce of electric energy under Section 205 of the Federal Power Act (FPA) and State regulation of retail sales of electric energy under the laws of each State must be appreciated as the Commission considers establishing rules for the interconnection of large loads to the interstate transmission system.

Rather than spending valuable time fighting between the Commission and State regulators over jurisdictional boundaries, we urge all sides to work together to recognize and remedy those circumstances in which the process of interconnecting large loads to the interstate transmission system under State laws is taking an inordinate amount of time and seek ways to expedite the process for interconnecting large loads to the grid. We also urge the Commission to recognize regional differences and not impose a new mandatory interconnection process on those regions experiencing rapid load growth from large loads, which are not experiencing interconnection challenges or delays. Because "speed to market" is critical, we support targeted efforts that minimize jurisdictional conflicts and preserve existing processes in any State where its interconnection processes are effectively avoiding the delays being experienced in other States.

In the grid administered by the PJM Interconnection LLC ("PJM"), for example, interconnections of large loads are experiencing significant delays. We understand that PJM and its stakeholders are considering various proposals that are intended to remedy such interconnection delays. We are aware of one such proposal that has been proposed by the Data Center Coalition ("DCC"), which is called the DCC's Voluntary, Limited Large Customer Bring Your Own Generation Pathway, as described in the DCC's slide presentation dated October 24, 2025 ("BYOG Pathway"). The DCC brought together both State representatives (i.e., the Governors of Maryland, New Jersey, Pennsylvania, and Virginia regulating the interconnection of loads in each State) and PJM (as the Federal representative regulating the interconnection of generators in those same States) to develop a cross-jurisdictional process for encouraging the simultaneous study of the grid impacts of Data Centers and associated generators for interconnection purposes.

Under the DCC's proposed BYOG Pathway, Data Center applicants will be given an expedited review and approval of their interconnection of both a large load (e.g., a Data Center) and a new electric generator, if both are brought together to the local utility in the "same Locational Deliverability Area," provided that:

(i) large load customers electing BYOG provide "upfront funding for network upgrades" determined to be necessary to access accelerated interconnection;

(ii) large load customer brings by PPA or other agreement: (i) a new electric generation resource, (ii) any uprated or expanded existing generation resource, (iii) a generation resource that didn't clear the previous capacity auction, (iv) a generation resource that undergoes fuel-switching for economic reasons to a more efficient fuel type, or (v) a generating resource with an independent audit finding a compelling economic basis for retirement and approval by the State where it is located; and

(iii) the "generation must be one-for-one accredited capacity tied to the large load customer's ramp schedule."

We submit that a collaborative approach between States and the Commission can produce a process that can simultaneously study both a Data Center and a contractually-associated electric generation resource by joining both (i) the Federal approval of interconnection of the generation resource (through the Commission-regulated LGIP and LGIA process) and (ii) the State approval (through a State-regulated utility) of the interconnection of a new large load. We recommend that the Commission work collaboratively with the States in those markets where the interconnection of Data Centers is experiencing delays.

Conversely, we also recognize that in the Southeast and some areas in the West a significant amount of Data Center load growth is occurring without the same large load interconnection delays facing other areas. In those States, there is no compelling reason to alter the already successful large load interconnection processes for Data Centers in those States. Forcing a mandatory large load interconnection process on those States could lead to unintended consequences, and a less efficient outcome than exists today. Such outcomes could frustrate the goals of "speed to market." Therefore, we do not believe a one-size-fits-all approach would be appropriate.

We support the ANOPR's proposal to require Data Center applicants and associated electric generation facilities to bear the expense of their related interconnections with the interstate transmission system, so that such costs are not passed on to, and not socialized among, the other customers served by that portion of the transmission system. This same concept has been applied by the Commission to interconnections of electricity generators for many years and has worked well. This approach also avoids having other users of the transmission system pay for network upgrades and other interconnection costs for generator projects that are speculative and fail to be constructed. The same should be true for Data Center interconnection costs when coupled with a co-located electric generation facility.

We fully support the proposal in the ANOPR of simultaneously studying the impacts on the network of one or more large loads (i.e., Data Centers) and one or more associated electric generating facilities as offsetting loads and resources and therefore worthy of expedited consideration and approval as a reasonable approach to addressing the interconnection of Data Centers that co-locate with existing or new electric generation facilities.

There are, however, certain additional questions that should be addressed with any such grid-connected Data Center and electric generation facility combination. Under normal operating conditions, the load (i.e., the Data Center) and the accredited capacity of the resource (i.e., the electric generation facility) offset each other and the network impact is negligible. However, some provision should be made for what will happen when the resource (i.e., generator) or the load (i.e., the Data Center) experiences a full or partial outage, whether scheduled or unscheduled.

Such a provision should answer the following questions:

- If a Data Center with a load profile that consumes, for example, 200 MWh of electric energy during many or most hours of the day suddenly comes on the grid when its co-located electric generator experiences a full or partial outage, how will that additional load be met?

- Should the Data Center be required to cease operating (which defeats the purpose of interconnecting with the grid as a backstop)?

- Should the Data Center be required to reduce its consumption of electric energy for applications other than the levels necessary to continue producing "compute"?

- Should the Data Center be required to use reasonable efforts to direct part or all of its customers' purchases of "compute" to other Data Centers?

- Should any such rules contain an exception or some type of prioritization for Data Centers providing cloud storage and disaster recovery services to its customers?

- If a large generator that generates, for example, 200 MWh of electric energy suddenly is delivering its output to the grid when its co-located Data Center experiences a full or partial outage, how will the transmission system be protected from the surge of additional electric energy?

- Should the grid's response to such circumstances be automated? Who should control such automated systems and who should bear the costs of such systems?

We look forward to the discussion and resolution of these questions and other issues as the Commission and other stakeholders contemplate the rules and regulations that the Commission should implement in any proceeding related to the Secretary's proposed ANOPR.

D. COMMENTS ON SPECIFIC PRINCIPLES FOR REFORM SET FORTH IN THE PROPOSED ANOPR

Following the outline set forth in the Secretary's proposed ANOPR now under consideration by the Commission,[2] the IECA offers comments on several, but not all, of the Principles for Reform set forth in the ANOPR.

(i) Principles for Reform

As set forth in the ANOPR:

> 18. First, to avoid *even arguably* affecting the States' jurisdiction over generation facilities, facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or transmissions consumed by the transmitter, the Commission's jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission's seven-factor test.[3]

IECA Comments on 1st Principle for Reform.

The IECA offers no initial comments on this 1st Principle for Reform, but we reserve the right to submit a response in any Reply Comments the IECA may submit in this proceeding, which are due on or before December 5, 2025.

> 19. Second, consistent with the Commission's *pro forma* LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW. We seek comment on alternative thresholds, including whether such a threshold is necessary at all.

IECA Comments on 2nd Principle for Reform.

As noted in our comments above, we do not think this approach should be mandatory in areas of the U.S. where Data Center interconnections are not experiencing delays that may be perceived as excessive.

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[2] The full text of the proposed ANOPR can be found at: https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf and, as noted above, also is posted on the Commission's eLibrary in this Docket.

[3] "The seven-factor test enables [the Commission] to identify the "primary function" of a facility. This primary function determines whether the facility is under [the Commission's] jurisdiction." *Cal. Pac. Elec. Co.,* 133 FERC ¶ 61,018, at P 45 (2010).

In addition, for purposes of expediting interconnection to the transmissions system (i.e., enhancing "speed to market"), we submit that expedited review and approval should be available to all loads (i.e., all Data Centers), not just large Data Centers in excess of any particular size.

Finally, for purposes of protecting the reliability of the transmission system, we note that a load of 20 MW may be perceived as inconsequential and need not require special consideration. Reliability and resource adequacy issues are affected much more by loads of 100 MW or larger, so setting an artificially low threshold could be problematic for purposes of addressing grid reliability. See also our discussion of the 14th Principle for Reform shown below in these Comments.

> 20. Third, to the extent practicable, load and hybrid facilities should be studied together with generating facilities. Such an approach will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades. For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.

<u>IECA Comments on 3rd Principle for Reform.</u>

We support studying load and hybrid facilities together with generating facilities for all the reasons noted above in our comments and as discussed in the Secretary's proposed ANOPR. We also suggest that such a study could also address "Controllable Dispatch" issues and other questions we noted above in our comments, effectively addressing what happens when one side drops, while the other remains on the grid, and developing a plan for addressing the grid impacts of the generator or Data Center experiencing a scheduled or unscheduled outage.

> 21. Fourth, like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties. These provisions deter speculative projects and provide transmission providers with more useful information to more accurately forecast demand on their systems. We seek comment on the extent to which the existing study deposits, readiness requirements, and withdrawal penalties can be adopted. We also seek comment on whether additional commitments or financial penalties would be appropriate.

<u>IECA Comments on 4th Principle for Reform.</u>

The IECA offers no initial comments on this 4th Principle for Reform, but we reserve the right to submit a response in any Reply Comments the IECA may submit in this proceeding, which are due on or before December 5, 2025.

> 22. Fifth, hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested. For example, a hybrid facility consisting of a 500 MW load and a 600 MW generating facility may seek no withdrawal rights and 100 MW

> of injection rights. This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system.

<u>IECA Comments on 5th Principle for Reform.</u>

The IECA offers no initial comments on this 5th Principle for Reform, but we reserve the right to submit a response in any Reply Comments the IECA may submit in this proceeding, which are due on or before December 5, 2025.

> 23. Sixth, any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights. We seek comment on whether other operational limitations should be considered. We also seek comment on the minimum technical requirements for such system protection facilities, whether a hybrid interconnection customer should be subject to penalties for unauthorized injections or withdrawals, how any such penalties should be designed, and how such penalties should be allocated to other transmission customers.

<u>IECA Comments on 6th Principle for Reform.</u>

We support requirements to install system protection facilities to prevent unauthorized injections or withdrawals, but we also recognize and support the ability of Data Centers relying on the grid as a backstop source of electric energy when a co-located generator experiences a full or partial outage. If a Data Center is unable to rely on the grid for back-up supply, then these policies would encourage Data Centers to operate as an "island" or micro-grid totally disconnected from the grid, which is probably not the best result for the Data Center or other users of the grid. To further manage these issues, Data Centers could enter into a PPA or other agreement with the local utility or another grid participant for back-up supplies of electric energy whenever their co-located generation facility experiences a scheduled or unscheduled outage.

> 24. Seventh, the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator's ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days.

<u>IECA Comments on 7th Principle for Reform.</u>

We support the use of "Controllable Dispatch" and other technological means of managing outages or derates of either a Data Center or its associated generation facility. Commission consideration in this or another proceeding of policy guidelines for applications of "Controllable

Dispatch" to Data Centers and co-located generation facilities could be beneficial, which would give Data Center developers, owners, and customers an opportunity to discuss how and to what extent the Data Center's "Controllable Dispatch" system could be connected to, and utilized to notify, the local utility or other grid operator in real-time if and when such outages or derates occur.

> 25. Eighth, load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. We seek comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years.

<u>IECA Comments on 8th Principle for Reform.</u>

As noted above in our comments, we support requiring load and hybrid facilities, including any associated electric generating facilities not sharing an interconnection point with its associated Data Center, to bear all the costs of network upgrades required for their interconnection(s) and we support offsetting such costs through a crediting mechanism as is applicable under the Commissions interconnection rules applicable to generators.

In addition, we submit that to the extent that any new, expanded, or upgraded generation facility is brought to the grid by or with a Data Center, if that generation facility provides benefits to the grid, those benefits could be financially recognized as offsets to other interconnection costs.

> 26. Ninth, to the extent the interconnection customer is not the transmission owner, the interconnection customer shall be afforded the same (or equivalent) option to build as currently provided to generator interconnection customers.

<u>IECA Comments on 9th Principle for Reform.</u>

We do not object to this concept.

> 27. Tenth, an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (SSR)/reliability must run (RMR) type study. The study must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date. The partial suspension can only proceed after any network upgrades needed to ensure reliability are placed into service. Any such network upgrades shall be the responsibility of the generating facility. We invite comments on whether and how resource adequacy should be considered in the SSR/RMR type study.

<u>IECA Comments on 10th Principle for Reform.</u>

The IECA offers no initial comments on this 10th Principle for Reform, but we reserve the right to submit a response in any Reply Comments the IECA may submit in this proceeding, which are due on or before December 5, 2025.

> 28. Eleventh, utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.

<u>IECA Comments on 11th Principle for Reform.</u>

The IECA offers no initial comments on this 11th Principle for Reform, but we reserve the right to submit a response in any Reply Comments the IECA may submit in this proceeding, which are due on or before December 5, 2025.

> 29. Twelfth, utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation. Any co-located generating facilities will similarly be fully compensated for the provision of ancillary services.

<u>IECA Comments on 12th Principle for Reform.</u>

The IECA offers no initial comments on this 12th Principle for Reform, but we reserve the right to submit a response in any Reply Comments the IECA may submit in this proceeding, which are due on or before December 5, 2025.

> 30. Thirteenth, there must be a plan to implement these proposed reforms. We seek comment on appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection.

<u>IECA Comments on 13th Principle for Reform.</u>

Regarding “the treatment of large load interconnections that are already being studied for interconnection,” we acknowledge that application of any new Commission rules for such an interconnection could be challenging.

Perhaps the applicant seeking authorization could be offered the choice of whether to proceed under its existing process or under the Commission’s new interconnection process for large loads interconnecting to the interstate transmission system. Recognizing that the interconnection procedures work well in some areas of the U.S. and not so well in other regions, we suggest that any load interconnection program that the Commission may introduce should not be mandatory across the entirety of the U.S., i.e., a one-size-fits-all approach is not the best way forward.

> 31. Fourteenth, utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions. Utilities and we must be prepared to revise large load interconnection procedures and agreements, as necessary. NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the BES.

IECA Comments on 14th Principle for Reform.

We fully support NERC in its efforts to protect the bulk electric system and we suggest that this inquiry relates to our comments on the 2nd Principle for Reform noted above. The grid impacts of a 20 MW load and an associated 20 MW generator (i.e., whether hybrid, co-located, or contractually associated by a PPA or other agreement) are not likely to have much of an impact on the grid reliability issues addressed by NERC. We defer to NERC on issues regarding the reliability of the bulk electric system and look forward to its comments, if any, in this proceeding regarding the size of a Data Center and any associated generator that would lead to reliability concerns, particularly with respect to circumstances in which an outage of either the Data Center or the generator could have significant reliability effects on the rest of the grid.

IV. CONCLUSION

The IECA appreciates the opportunity to submit these comments to the Commission. We welcome the opportunity to review initial comments filed by others in this proceeding and look forward to submitting reply comments to the Commission on December 5, 2025.

Please do not hesitate to contact the undersigned with any questions regarding this filing.

Respectfully submitted,

INTERNATIONAL ENERGY CREDIT ASSOCIATION

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